Diligence Comments - Calder Works

April 22, 2024 | To: Halvorsen Urban Partners LLC

We have completed our initial review of the investor presentation designated v3, the financial model designated v6, Development Budget Revision 3 and the Part 1 and Part 2 determinations. The comments below are conditions to the issuance of a final term sheet and to our admission to any Company. Capitalized terms not defined here have the meanings given in our letter of intent dated March 1, 2024.

Credit basis and structure

Comment 1 Building C has been determined non-contributing in Part 1 and is therefore not a certified historic structure; its allocable costs, together with the cost of the structured parking deck (a site improvement outside any building), must be removed from the qualified rehabilitation expenditure base. On our arithmetic, applying that removal to Budget Revision 3, qualified expenditures should not exceed thirty-six million four hundred fifty thousand dollars ($36,450,000), and every projection derived from the expenditure base should be recomputed accordingly.

Comment 2 The presentation describes a sale of the federal rehabilitation credit under Section 6418. Credits under Section 47 are not among the credits eligible for transfer under that section. Our investment is conditioned on restructuring as a master lease pass-through, with our fund admitted as investor member of the master tenant rather than of the owner.

Economics

Comment 3 The aggregate development fee, inclusive of any deferred portion and any fee payable to an Affiliate for construction oversight, shall not exceed four million two hundred thousand dollars ($4,200,000).

Comment 4 Our pricing is revised to eighty-six cents ($0.86) per dollar of federal credit, reflecting current market conditions, and is conditioned on both Buildings being placed in service by December 31, 2025, failing which the price will step down as will be set out in the operating agreement.

Design and financing

Comment 5 The unit count throughout the materials must reflect Condition 2 of the Part 2 decision, which retains the Building B light court; we understand the resulting count is one hundred twenty-eight (128) dwelling units.

Comment 6 We understand the lender has resized the construction loan to twenty-four million five hundred thousand dollars ($24,500,000) following its revised appraisal; the sources and uses should be conformed.

Document control

Comment 7 Please confirm in writing that each of the foregoing changes has been carried through every investor-facing document, including the presentation, the model, the budget, the operating agreement and its exhibits, and any summary or offering material furnished to any third party, including any purchaser of state credits.

Guaranties

Request 8 Provide sponsor financial statements supporting the completion, operating deficit and recapture guaranties.

Request 9 Provide builder's risk and liability certificates naming the investor fund as additional insured.

Environmental

Request 10 Provide the Phase I report and asbestos and lead surveys for Buildings A and B, and confirm abatement scope.

Request 11 Provide an updated ALTA survey and title commitment showing all three structures and the parking deck, together with copies of all exceptions.

Insurance

Request 12 Provide builder's risk and liability certificates naming the investor fund as additional insured.

Request 13 Provide the Phase I report and asbestos and lead surveys for Buildings A and B, and confirm abatement scope.

Title and survey

Request 14 Provide an updated ALTA survey and title commitment showing all three structures and the parking deck, together with copies of all exceptions.

Request 15 Provide sponsor financial statements supporting the completion, operating deficit and recapture guaranties.